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The Lost Art of Simplicity

When more information doesn't necessarily lead to better management.

The data paradox

We have never had more data. More dashboards. More KPIs. More sophisticated systems. Yet it is far from obvious that we have become proportionately better at making decisions — or running businesses.

Have we confused having more information with having better management?

A two-company story

I vividly remember working sequentially as an executive in two very different businesses.

The first business had an extraordinary level of management information. KPIs covered almost every aspect of Finance, Sales, Operations, Supply Chain, HR and other functional areas. Budget and business reviews required weeks of preparation. Elaborate PowerPoint decks filled with colour-coded numbers were prepared, variances explained and follow-up questions answered.

The level of sophistication was impressive. But discussions frequently disappeared into detail that had little bearing on whether the business would ultimately succeed.

The second business was significantly larger. Yet its approach was remarkably simple. Budget reviews centred on a concise P&L, a few key objectives, capital requirements and a limited number of KPIs. Meetings typically lasted one or two hours. Then leaders went back to running the business.

What struck me was not that the second organization lacked sophistication. It had simply made a different choice about **where management time was best spent**.

Every dashboard, every report and every additional KPI competes for one resource that remains stubbornly finite: **leadership attention**.

Simplicity is not the absence of sophistication. It is often the result of it.

The real management skill may therefore lie not in generating more information, but in distinguishing what truly matters from what merely can be measured.

Fifty KPIs may provide more information than five. They do not necessarily provide more insight. A three-hour management review may cover more ground than a one-hour review. It does not necessarily produce better decisions.

The danger begins when the tools designed to support management gradually become substitutes for management.

Measurement is valuable. Measurement replacing judgement is not.

But now we have AI!

Now there is AI indeed. Data can increasingly be gathered, analysed, summarized and visualized almost instantaneously. Tasks that once required teams and days of preparation can increasingly be completed in minutes.

That should make management simpler. But will it?

If the cost of producing analysis approaches zero, the temptation may simply be to produce more of it: more dashboards, more scenarios, more comparisons, more slides. AI can dramatically simplify the mechanics of management. It cannot decide what really matters.

Perhaps that makes simplicity an even more important leadership capability.

Business was not necessarily better before all this technology. On the contrary: technology is extraordinarily powerful, but therefore leaders need to become even better at filtering what matters and **practising disciplined simplification**.

Questions worth asking

Perhaps the question is no longer whether we have enough data. It is whether we have the discipline to focus on what truly matters.

- How many of our KPIs genuinely influence decisions?
- How much management time is spent explaining performance rather than improving it?
- Are our business reviews decision forums — or presentation forums?
- And if we removed half of what we currently measure and report, would the business really perform any worse?

“Sometimes, managing complexity is necessary. Creating it is not.”